EXECUTIVE SUMMARY

1. Introduction

The municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality which is situated in the northwestern coast of the Province of Cagayan with an area of 17,176 hectares.

The audit covered the accounts and operations of the Municipality of Pamplona for the year 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P312,394,158.81, P75,316,844.12 and P237,077,314.69, respectively with an increase of 4.23%, decrease of (11.10%) and increase of 10.27% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P123,328,106.00 and P93,579,603.14, which increased by 14.68% and 3.40% respectively from last year's figures.

Particulars	2020	2019	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	312,394,158.81	299,713,761.11	12,680,397.70	4.23%
Liabilities	75,316,844.12	84,717,801.98	(9,400,957.86)	(11.10%)
Government Equity	237,077,314.69	214,995,959.13	22,081,355.56	10.27%
Financial Performance				
Income	123,328,106.00	107,539,899.98	15,788,206.02	14.68%
Expense	93,579,603.14	90,500,827.90	3,078,775.24	3.40%
Appropriations, Allotments and Obligation				
Appropriations	198,717,934.67	225,220,275.05	(26,502,340.38)	(11.77%)
Allotments	198,717,934.67	225,220,275.05	(26,502,340.38)	(11.77%)
Obligations	146,691,042.91	146,819,467.50	(128,424.59)	(0.09%)

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P175,745,178.17 (net of depreciation) could not be ascertained due to failure to conduct the one-time cleansing procedures of PPE. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Significant Audit Observations and Recommendations

a. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, thus, the accuracy of the "PPE" account in the financial statements amounting to P175,745,178.17 cannot be verified.

We recommended that Management:

1. Pursuant to COA Circular 2020-006 dated January 31, 2020, create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

2. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

3. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

4. Direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs after the inventory taking.

b. Completed infrastructure projects with a total cost of P35,480,250.99 funded from Trust Fund were not transferred and recorded in the General Fund books contrary to the provisions of IN 6 of IPSAS 17, hence understating the total assets of the Municipality and no corresponding depreciation expenses were charged ultimately understating the expenses, but overstating the carrying value of the projects.

We recommended that the Management instruct the Municipal Accountant to transfer and record all completed projects funded from the Trust Fund in the General Fund books and recognize the corresponding depreciation expenses

thereon in accordance with the recognition and measurement guidelines set out by IPSAS 17.

c. Procurements of various supplies, drugs and medicines related to COVID 19 response amounting to P2,182,600.00 were recognized as outright expenses instead of recording in the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence safeguards thereon were not adequately undertaken.

We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

a. The General Services Officer maintain stock cards for inventories received, issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

b. The Municipal Accountant maintain Supplies Ledger Card for each specific type of Inventories.

c. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

5. Summary of Total Suspensions, Disallowances, and Charges

For CY 2020, audit disallowance totaling to P1,488,800.00 was already settled during the year.

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances					
Prior Years	P1,488,800.00		P1,488,800.00	-	-
Current Year	-	-	-	-	-
Total	**P1,488,800.00**	**-**	**P1,488,800.00**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the seven (7) audit recommendations in the prior years' report, five (5) were fully implemented, one (1) was partially implemented and one (1) was not implemented as at year end